

**NO SOCIETY CAN SURELY BE  
FLOURISHING AND HAPPY, OF WHICH  
THE FAR GREATER PART OF THE MEMBERS ARE  
POOR AND MISERABLE.**

**ADAM SMITH**

### **We're all different**

There are many natural differences between the countries of the world, such as their size and their climate, so it's not surprising that their economies are different, too. The countries that are richest in the modern world have become prosperous through economic development. That is, they have improved their industries to make them more efficient and productive, and adopted capitalist economic systems that have brought economic growth and encouraged advances in technology.

### **Getting rich**

Countries in Europe, and later America and Japan, were the first to become industrialized, and began to enjoy a standard of living that was continually improving. This productivity gave them an advantage over less-developed countries, which found it difficult to compete for world trade. As a result, these poorer countries couldn't earn enough from their trade to build industries and develop their economies. Some rich European countries built empires, colonizing countries around the world and exploiting them to get the resources they needed. So, while the rich countries grew richer, their colonies were unable to benefit from their own resources. But some underdeveloped countries have become rich, too. The nations of the Arabian Gulf, Saudi Arabia and Qatar, for example, consisted largely of a desert-dwelling